Senior facility term sheet

Acquisition financing for the Northline Industrial Property Portfolio. Indicative terms only, subject to diligence and final documents.

BORROWER	SPONSOR	LENDER	STATUS
Northline Acquisition Entity	**Northline Property Partners**	**To be confirmed**	**Draft, not an offer**

Facility	Facility amount	**$9,600,000**
	Purpose	Purchase of ten industrial properties for $15,000,000
	Loan to cost	60.0% of total project cost of $16,000,000
	Loan to value	64.0% of purchase price
	Term	36 months from closing
	Repayment	Interest only, balance repaid at maturity
Pricing	Interest rate	7.00% a year, fixed
	Annual debt service	**$672,000**
Security	Collateral	First-ranking security over all ten properties, 206,000 sq ft
	Reserves	$500,000 funded at closing and held by the borrower
Covenant	Minimum DSCR	1.30x, interest only, tested annually
	Opening DSCR	**1.56x**, based on annual NOI of $1,050,000
Funding	Sponsor equity	$6,400,000, 40% of total project cost
	Conditions to closing	Satisfactory diligence, executed loan documents and confirmation of equity funding

How the numbers tie

SOURCES
$9.60M + $6.40M
$16.00M

USES
$15.00M + $0.50M + $0.50M
$16.00M

DEBT SERVICE
$9.60M × 7.00%
$672,000

DSCR
$1,050,000 ÷ $672,000
1.56x